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Bankruptcy—Is There an Easy Way Out?

There is no such thing as a free lunch.
In the end, you pay for everything.

Personal (non-business) bankruptcies, which had been increasing steadily throughout the 1980s and '90s, peaked in 2005 at slightly over 2 million filers. This number was an all time high. Although the numbers of filers went down dramatically in 2006 to a little under 600,000, most experts think this is because most people who had been contemplating bankruptcy quickly ran to file in 2005 before the new, more restrictive bankruptcy law came into effect.

The recently enacted Bankruptcy Reform Law was intended to cut down on consumers who engaged in overspending behavior and then promptly filed bankruptcy to get their debt forgiven. The new law includes provisions that consumers be fully informed about the bankruptcy process, alternatives to bankruptcy and the potential consequences of filing a bankruptcy. The new law also requires debtors, prior to receiving a bankruptcy discharge, to complete a financial management instructional course. The hope is that this type of education will cut down on future financial problems and avoid repeat bankruptcies.